10) Financial Statements for Partnership

Summary

Set of Individuals + Agreement + Business + Making Profit

Min 2 - Max 20
Company Act of 2007
Section 519

* Verbal
* Written
* Implied (Assent/ Expression)

If the partnership capital contribution above Rs. 1000/-

↓

You must have a written agreement (Partnership deed)

} 1840 prevention of fraud ordinance Section 07

If the partnership business name is not in the full name of partners, then you should register the name.

1918 registration of business Name Ordinance

Agreement

- Capital contribution
- Management / Working of the business
- Profit / loss share
- Salary for partners
- Interest on capital
- Interest on loan by the partners.
- Goodwill

Partnership Ordinance of 1890

[Sec 24]

① Despite capital contribution profits or losses shared equally.
② No interest on capital

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③ Interest on loan provided by partners → Min RS 5%.
④ Regardless of working → No salary
⑤ If partners pay business payments from own personal money → they can take it back from the business (Reimbu -ε).

Sec # 42

ⓐ When a partner retire, business should return the money immediately.

ⓑ If it is not settled immediately minimum 5% interest should be paid until the settlement.
(It is considered a normal loan)

Income
(expense)
Net profit
- Interest on Capital
- Partners Salary
- Remaining profit portion / Profit Share

Not as expenses

Partners Equity

Capital A/C — ↑Cr ↓Dr
Current A/C

Q1.1) False. As per the Ordinance partners should share profits/losses equally

2) False. As per the ordinance 5% interest is applicable for the loan not the capital provided.

3) False.
an en

4) False.
a so

5) False
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reimbu

6) False
5%.
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7) False
S19

8) False

9) True

10) False
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Date 29/05/2025

4-8 marks (2% syllabus)

01) Accounting and its Purpose

Definition of Accounting

Accounting is a process of providing ₹ bs information for the users of accounts / stakeholders / interested parties to make economic decisions.

Main Objective of Accounting

The main objective / purpose of accounting is providing the bs information for the users of accounts.

Other Objectives

- To identify financial performance (P or L) of bs
- To identify ll position (bs assets, liability, equity) of bs
- To identify the liquidity position (bs inflows & outflows of cash) of bs
- To hv proper control over the bs activities
- To hv a proper planning for the future bs activities
- Legal req for some bs.

Users of Accounting

Internal users
- Board of directors (management)
- Managers
- Other employees

External users
- ** Shareholders / investors / owners
- Future potential investors
- Govt
- financial institutions (banks, leasing, insurance companies)
- Customers
- Suppliers
- External auditors
- Competitors
- Pressure groups (trade unions, human rights)
- General public
- Media